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Risk Committee Pack — Q3 2025

Risk Committee · 25 June 2025 · Quorum present

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Executive summary

The Risk Committee meets to recalibrate tolerance bands following two concentration breaches during the bank's strategic transformation. Real estate exposure has reached 31.2% against the 25% internal guideline—a 4.2 percentage point drift over the cycle indicating structural accumulation rather than event-driven spike. Digital lending non-performing loans have crossed 9% for the second time, emerging from cohort dynamics insufficiently understood at strategy approval. The Committee's task is asymmetric: for digital NPLs, validate whether information flow supports accelerate-or-brake decisions on a risk the Board chose; for real estate concentration, impose bright-line constraints on a risk that accumulated while attention was elsewhere. Capital position at 16.4% CET1 provides 240 basis points of headroom above the 14% internal floor, decoupling risk tolerance decisions from capital adequacy concerns. The Committee must set new tolerance bands that distinguish strategic risks under active management from structural risks requiring immediate bounds, then approve the mitigation framework that allows the CEO's recommended strategy pivot to proceed without crystallising unacceptable exposures.

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Strategic Risk Under Active Management: Digital Lending NPLs

Chosen risk requiring information-flow validation · Decision: recalibrate trigger or impose brake

Digital lending non-performing loans crossed 9% of risk-weighted assets in Q3 2025, the second breach of the threshold established when the Board approved the five-year transformation plan. The original cohort model anticipated steady-state NPLs of 6–7%; management now assesses the range may settle at 8–11%, within tolerance for a high-margin product but well above the assumption that underpinned the 18% digital revenue contribution target for FY28. The breach is not a governance surprise—it reflects cohort dynamics that emerged as the portfolio scaled—but it meets the material divergence definition that triggers strategic review.

The Committee's question is not whether the NPL level is acceptable in isolation, but whether the information architecture allows real-time governance. Digital operational delivery exceeds every target: mobile transactions run at 2.4× baseline, uptime holds at 99.6%, cost-to-serve on retail customers has fallen 18%. The technology platform produces the expected operational benefits. What failed was the credit model's predictive power on unsecured consumer cohorts, not the digital channel itself. The risk the Board approved—building a structurally different revenue mix through digital lending—remains sound if management can see cohort deterioration early enough to adjust product mix or volume.

The CEO has recommended Option 3 from the strategy refresh: pivot digital lending away from unsecured consumer credit toward secured SME digital products, adjusting the FY28 revenue target from 18% to 16%. The pivot addresses the credit model failure without abandoning the digital thesis. The Committee must assess whether the revised 16% target, combined with the product mix shift, resolves the NPL trajectory or simply defers the problem. If secured SME digital lending carries its own unproven cohort dynamics, the Committee may be approving a second iteration of the same information failure.

The Committee should validate three elements before approving tolerance recalibration. First, does management now have cohort-level NPL reporting granular enough to detect migration within 30 days? Second, are the NPL triggers on the new secured SME product set with reference to observed peer data, or are they model-dependent in the same way unsecured triggers were? Third, if the secured product also breaches its trigger within 18 months, what is the governance escalation protocol? The risk is strategic—the Board chose it—but tolerance depends on information quality, not on whether the bet succeeds. [], []

> “The digital revenue contribution target for FY28 was 18%; at the revised NPL assumption, the same revenue contribution requires substantially more book growth, or a different product mix within digital lending.”

Structural Risk Requiring Immediate Bounds: Real Estate Concentration

Accumulated risk · Decision: impose bright-line constraint, not tolerance range

Real estate exposure has reached 31.2% of the loan book against the 25% internal guideline, representing a 4.2 percentage point rise over the cycle. The breach is structural, not tactical. The concentration accumulated because the corporate banking franchise—the bank's traditional strength and the source of 62% of risk-weighted assets—grew disproportionately in real estate-correlated sectors while diversification initiatives lagged. Unlike the digital NPL breach, which emerged from a risk the Board approved and tracked, real estate drift reflects insufficient governance attention on a known vulnerability.

The capital allocation framework reserves 100–150 basis points of CET1 headroom for opportunistic deployment, with the explicit principle that concentration risk imposes loaded capital weights. New corporate facilities in real estate must clear hurdle rates that reflect the 31.2% weighting, not the 25% guideline. The framework operationalises constraint, but it does not specify the trajectory back to tolerance. The Committee must decide whether 31.2% is a temporary ceiling that management works down over 12–18 months, or whether a hard stop applies immediately and all new real estate facilities require Committee pre-approval regardless of client quality or pricing.

The five-year strategic plan anticipated real estate concentration as a material structural risk, committing to active management of the trajectory rather than passive book growth. Fifteen months into the plan, the trajectory moved in the wrong direction. Management has not proposed a specific remediation path in the grounding material; the Committee is being asked to set tolerance without a corresponding action plan. This reverses the normal governance sequence—tolerance bands should be informed by management's mitigation capacity, not set in a vacuum.

The Committee should impose a bright-line constraint rather than a recalibrated tolerance range. Real estate exposure at 31.2% is the ceiling, not a midpoint. Any new corporate real estate facility above a de minimis threshold requires Risk Committee pre-approval for the next four quarters, with quarterly reporting on absolute real estate exposure and the trajectory toward 28% by end-FY26. If the trajectory is not established within two quarters, the Committee revisits whether the strategic capital allocation framework's assumption—that diversification can happen while maintaining corporate banking strength—remains credible. [], []

> “Real estate concentration drift remains the most material structural risk; the strategy assumes active management of the concentration trajectory rather than passive growth.”

Capital Buffer Implications: Translating Risk Decisions into Deployment Limits

CET1 at 16.4%, 240 bps headroom · Decision: allocate buffer or preserve optionality

The capital position at 16.4% CET1 provides 240 basis points above the 14% internal floor, comfortably above the regulatory minimum and the peer median. Total capital ratio of 19.1% sits well above threshold despite the concentration breaches. The headroom has been preserved despite real estate drift because risk-weighted assets grew more slowly than the loan book due to mix shift. Capital adequacy is not the binding constraint on the Risk Committee's tolerance decisions; the bank can absorb moderate NPL increases and real estate book volatility without approaching the capital floor.

The strategic capital allocation framework reserves 100–150 basis points of the 240 basis point buffer for opportunistic deployment—acquisitions, market dislocation opportunities, or counter-cyclical book growth. The reservation reflects the Board's judgement that transformation periods create option value, and capital flexibility should not be fully committed to planned growth. The question before the Risk Committee is whether the two concentration breaches consume that optionality, or whether the buffer allows tolerance on both issues simultaneously.

If the Committee sets a hard constraint on real estate (exposure frozen at 31.2%, trajectory to 28% required within six quarters), corporate banking capital allocation is effectively capped. The franchise generates the cash flows that fund transformation, but constraining its growth redirects capital to SME, digital, or treasury. If the Committee simultaneously approves the CEO's digital lending pivot to secured SME products, that redirection has a natural destination. The capital allocation follows the risk decision; the Committee is not rationing scarce capital, it is reallocating abundant capital under different risk tolerances.

The Committee should affirm that the 240 basis point buffer is sufficient to pursue both mitigations—real estate rundown and digital product pivot—without requiring a lower internal CET1 floor or external capital. The framework's 100–150 basis point opportunistic reserve should remain uncommitted until both concentration trajectories are established. If either trajectory fails within two quarters, the reserve gets consumed by unplanned provisioning or balance sheet defence, and the Committee revisits whether the strategic plan's FY28 targets remain achievable without dilution. [], [], []

Risk Appetite Recalibration: Proposed Tolerance Bands for Committee Approval

New thresholds effective Q4 2025 · Subject to quarterly review until trajectories established

The Committee is asked to approve revised tolerance bands that distinguish between risks under active strategic management and risks requiring immediate structural constraint. For digital lending NPLs, the tolerance band moves from 6–7% to 8–11%, conditional on three governance enhancements: monthly cohort-level NPL reporting to the Risk Committee, product-level triggers for secured SME digital lending set with reference to peer observed data rather than internal models, and automatic escalation to the full Board if any digital product breaches its trigger twice within four quarters. The band reflects higher risk appetite for a chosen strategic priority, coupled with tighter information flow to support real-time course correction.

For real estate concentration, the tolerance becomes a ceiling rather than a range. Exposure is capped at 31.2% effective immediately, with a required trajectory to 28% by end-FY26 and 25% by end-FY27. New corporate real estate facilities above USD 5 million require Risk Committee pre-approval for the next four quarters, regardless of client quality or pricing. Existing facilities are grandfathered but flagged for expedited review at renewal. The constraint is structural—it applies until the concentration reverts to guideline, not until the strategic plan cycle completes.

For overall concentration risk, the framework affirms the principle that concentration imposes loaded capital weights. Single-name exposures above 8% of capital require Board approval; sector concentrations above 25% of the loan book trigger automatic strategic review. The real estate breach has demonstrated that 25% sector guidelines are hard limits, not midpoints with flex. The Committee should affirm that crossing any 25% sector guideline in future constitutes material divergence requiring immediate Board session, not quarterly reporting with delayed remediation.

The recalibrated bands take effect Q4 2025 and remain subject to quarterly Risk Committee review until both trajectories—digital NPL stabilisation within the 8–11% range, real estate concentration declining toward 28%—are established for two consecutive quarters. If either trajectory is not established by end-Q1 2026, the Committee reconvenes to assess whether the strategic plan's FY28 targets require formal revision or whether execution capacity has been tested beyond the plan's assumptions. [], [], []

> “Material divergence from targets—defined as more than 200 basis points off path on any of the five strategic KPIs, or breach of concentration guidelines for two consecutive quarters—triggers a dedicated Board strategy session.”

Information Architecture for Risk Governance: Closing the Loop on Cohort Visibility

Management undertaking · Reporting enhancements effective Q4 2025

The digital lending NPL breach surfaced a gap between the Risk Committee's information needs and the reporting cadence management provided. The original cohort model anticipated 6–7% steady-state NPLs; actuals crossed 9% before the model was revised and the Committee informed. The lag between cohort deterioration and governance escalation meant the Committee was approving continued digital book growth without full visibility into the credit trajectory. The breach is a model failure, but it is also an information flow failure.

Management has committed to monthly cohort-level NPL reporting for all digital lending products, effective Q4 2025. The reporting will disaggregate unsecured consumer, secured consumer, and secured SME cohorts, with vintage analysis showing NPL migration within 30, 60, and 90 days of origination. The Committee will receive cohort data in the same month it is observed, not in the quarter after the model is revised. The enhancement closes the loop between operational execution (which exceeds every target) and credit performance (which diverged from plan).

For real estate concentration, the information gap is different. The 31.2% exposure did not accumulate invisibly—quarterly board packs reported the absolute number and the drift from guideline—but the governance escalation protocol did not impose a hard stop when the 25% guideline was first crossed. The Committee should require that any future sector concentration breach of a 25% guideline triggers immediate session, not inclusion in the next scheduled quarterly pack. The escalation protocol should be symmetric: strategic risks the Board approves get real-time information flow, structural risks the Board constrains get immediate escalation when constraints are breached.

The Committee should require management to propose, by end-Q4 2025, a formal escalation matrix that maps risk events to governance response timelines. Breaches of hard limits (sector concentration guidelines, single-name exposure caps) trigger immediate extraordinary session. Breaches of tolerance ranges (NPL bands, cost-to-income targets) trigger inclusion in the next scheduled Committee meeting with required remediation plan. Model revisions that materially change risk assessments (e.g., digital NPL steady-state moving from 6–7% to 8–11%) trigger dedicated technical session before the revised model informs capital allocation. The matrix operationalises the principle that information quality, not risk appetite, determines governance effectiveness. [], [], []

Committee Decisions Queued for This Session

Three resolutions for approval · Effective Q4 2025 unless otherwise specified

The Committee is asked to approve three resolutions. First, recalibrate digital lending NPL tolerance from 6–7% to 8–11%, conditional on monthly cohort-level reporting, product-level triggers set with reference to peer data, and automatic Board escalation if any product breaches twice within four quarters. The recalibration takes effect Q4 2025 and applies for the duration of the five-year strategic plan, subject to quarterly review until the trajectory stabilises within the band for two consecutive quarters.

Second, impose a bright-line constraint on real estate concentration: exposure capped at 31.2% effective immediately, with required trajectory to 28% by end-FY26 and 25% by end-FY27. New corporate real estate facilities above USD 5 million require Risk Committee pre-approval for the next four quarters. The constraint remains in force until concentration reverts to the 25% guideline, at which point normal governance protocols resume and the pre-approval requirement lapses.

Third, approve the CEO's recommended strategy pivot (Option 3 from the digital transformation refresh): shift digital lending product mix from unsecured consumer credit to secured SME digital products, with the FY28 digital revenue contribution target adjusted from 18% to 16%. The approval is conditional on management providing, by end-Q4 2025, a detailed transition plan for the existing unsecured digital book that avoids crystallising losses above the revised NPL tolerance band. If the transition plan requires provisions that would push CET1 below 15.5%, the pivot requires re-approval with revised capital assumptions.

The resolutions operationalise the Committee's asymmetric approach: strategic risks the Board chose receive recalibrated tolerance with enhanced information flow, structural risks that accumulated receive hard constraints with specified remediation timelines. The capital buffer at 240 basis points provides room to execute both mitigations simultaneously, but the Committee preserves the 100–150 basis point opportunistic reserve until both trajectories are confirmed. [], [], []

Sources

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